A good thumb rule about general equilibrium effects is that there will be no feel-good newspaper story, no photographs on social media. There will be no sharp impact, no human interest angle. There will be small changes spread all across the economy, which can add up to substantial impacts.

By default, we are wired to look more narrowly. For reasons of functional specialization, the lines of turf, and the limitations of our minds, it is easier to look at one firm or one sector at a time. This is ‘partial equilibrium’ thinking. But every policy thinker must maintain a general equilibrium perspective in the back of her head.

When we think about tax policy, it is important to narrowly look at the incremental effects of every move. But it is even more important to see these moves in a general equilibrium context.

A great deal of the debate about GST is practical squabbles about this commodity or that location. But the best insights into GST are obtained by thinking at the level of the full economy, about how incentives of all private persons will change, how the resource allocation will be reshaped, and how production and prices will change on an economy scale.

Similar issues are faced in international economic integration. Opening up to the world is always a problem for one narrow sector or constituency, which is placed under competition from overseas. Policymakers tend to often reflexively protect the Indian persons who face new challenges emanating from overseas.

But the great insight of trade theory is grounded in general equilibrium effects. International engagement shifts labour and capital from certain industries to other industries, and in the aggregate, we become better off. This is why, to economists, ‘protectionism’ is a bad word. But seeing this requires a general equilibrium perspective.

Example 9: Agriculture

In the field of agriculture, we have a large number of distortions: restrictions on input prices, output prices, transportation, international trade,